fight to the last rupee. His reply is a good example of how the highest national interest informed his thinking and actions at all times. ‘If it is your gold or mine I might vote for its being frittered away. But actually those Indians who are voting against me are being generous at the tax-payers’ expense.’[15]

Purshotamdas then said that since the principle he was fighting for had been accepted, he would not dissent merely because he had got ₹10 crores less. However, he would sign happily and with the feeling that India had got a fair deal if they agreed to ₹40 crores. In the event, all the other Indian members voted for ₹35 crores, but Purshotamdas fought hard and succeeded to a great extent. But for him India’s gold reserves might have been completely lost. Also, Purshotamdas in his Minute of dissent insisted on the condition that a minimum gold holding in relation to the note issue be fixed. Purshotamdas lost that particular battle but won the war. His stand was vindicated when the Reserve Bank of India Act 1934 stipulated that ‘Of the total amount of assets of the Issue Department not less than two-fifths shall consist of gold coin, gold bullion or sterling securities: provided that the amount of gold coin and gold bullion shall not at any time be less than forty crores of rupees in value.’

The rupee-ratio question also figured in the deliberations and Purshotamdas’s crusade got a shot in the arm when Prof. Theodore Gregory who had earlier given evidence in favour of a 1s 6d rate, changed his mind and told a common friend that the Indian public should agitate for a lower ratio. Purshotamdas got wind of this change in his thinking and used the information to enlist the support of other Indian colleagues who were still undecided. Purshotamdas also found an unexpected ally in Sir Osborne Smith, Managing Governor of the Imperial Bank, who ultimately became the RBI’s first Governor.

Another point on which Purshotamdas differed with his colleagues on the Committee concerned the sale of silver. Purshotamdas opposed the sale of silver from India on the ground that though the public was increasingly using currency notes, the silver rupee, although a token coin, had a big hold on the masses. Indeed, it could be argued, that the popularity of the currency note was based largely on the public’s confidence that it could be encashed in silver on demand. Purshotamdas’s warning was prescient